

Churn Analysis – Business Insights Report

OTT Subscription Dataset | Data-driven findings, business impact & recommended actions

Metric	Result
Overall Churn Rate	28.6%
Retention Rate	71.4%
Monthly vs Annual Churn	55.6% vs 8.3%
Average Tenure	1,451 days
ARPU	Rs 18.8
Total Revenue	395
Revenue Loss from Churn	74
CLTV Lost	2,047
Revenue Loss %	18%

1. Executive Summary

The churn analysis identifies a **28.6% overall churn rate**, with retention at 71.4%. The strongest business signal is the large difference between monthly and annual contracts: **55.6% of monthly subscribers churned compared with 8.3% of annual subscribers**. This makes contract structure a major retention lever.

Churn also has a measurable financial impact: approximately **74 in revenue loss** and **2,047 in lost customer lifetime value (CLTV)**, representing about **18% revenue loss**. The analysis supports a targeted retention strategy focused on high-risk customers, monthly-plan migration, and investigation of geographic and product/service issues.

2. Key Insights

- **High overall churn:** 28.6% of subscribers have churned, indicating a meaningful retention problem.
- **Monthly plans are the biggest risk:** monthly churn is 55.6%, versus only 8.3% for annual contracts.
- **Contract migration opportunity:** the approximately 6.7× difference in churn rates suggests moving suitable monthly users toward annual plans could materially improve retention.
- **Financial exposure is concentrated:** churn has caused about 74 in revenue loss and 2,047 in CLTV loss.
- **Geographic concentration:** September 2024 was identified as the month with the most churn, while Karnataka was the most affected state.
- **Basic plan contributes most churn:** most churn comes from the Basic subscription tier, so the plan should be investigated for pricing, value perception, and customer experience issues.
- **Customer-risk prioritisation:** high- and medium-risk customers should be ranked using churn risk and LTV so retention efforts focus on customers with the greatest potential value.

3. Revenue & Customer Value Impact

The dataset shows **total revenue of 395** and approximately **74 of revenue loss attributable to churn**. That corresponds to an estimated **18% revenue-loss rate**. The CLTV impact is also important: **2,047 of lifetime value has been lost**. This indicates that churn should not be evaluated only by the number of customers leaving; retaining high-value customers can have a disproportionate effect.

4. High-Priority Business Questions

- What changed in Karnataka around the September 2024 churn spike?
- Were there price increases, service/technical problems, or a rise in customer complaints?
- Did the Basic plan price, features, or terms change before the churn increase?
- Why are monthly customers leaving at a much higher rate than annual customers?
- Are customers switching to competitors, and what competitor offers are attracting them?
- Which high- and medium-risk customers have the highest CLTV and should receive immediate retention outreach?

5. Recommended Action Plan

Priorit y	Action	Expected Business Benefit
1	Investigate Karnataka + Sep 2024 churn spike; review complaints, outages, pricing and support escalations.	Identify root cause and stop repeat churn.
2	Build a monthly-to-annual migration campaign for suitable monthly subscribers.	Reduce exposure to the high monthly churn segment.
3	Review Basic-plan pricing, features and perceived value.	Improve retention in the largest churn-contributing tier.
4	Create a high/medium-risk customer list using churn risk + CLTV.	Focus retention budget on high-value customers.
5	Contact priority customers through email, SMS and calls; resolve open support issues.	Recover at-risk customers before cancellation.
6	Track competitor switching and cancellation reasons.	Improve product/pricing decisions and competitive positioning.

6. Portfolio / Resume Summary

Churn & Revenue Impact: Built an end-to-end churn analytics workflow for an OTT subscription dataset, analysing 20+ KPIs across subscription, customer and revenue dimensions. Identified a 28.6% overall churn rate, a 6.7× monthly-vs-annual churn gap, and quantified revenue and CLTV impact.

Risk Scoring & Segmentation: Segmented customers into churn-risk groups using subscription tenure, plan type, support/escalation signals and customer value, enabling prioritised retention actions for high-value at-risk customers.

Support & Cancellation Analysis: Connected support/cancellation signals with subscription behaviour to identify potential drivers such as complaints, pricing sensitivity and competitor switching, translating the findings into a practical product, pricing and retention roadmap.

Note: Figures in this report are based on the metrics shown in the supplied project screenshots. Currency/unit labels should be aligned with the original dataset before publishing the project publicly.